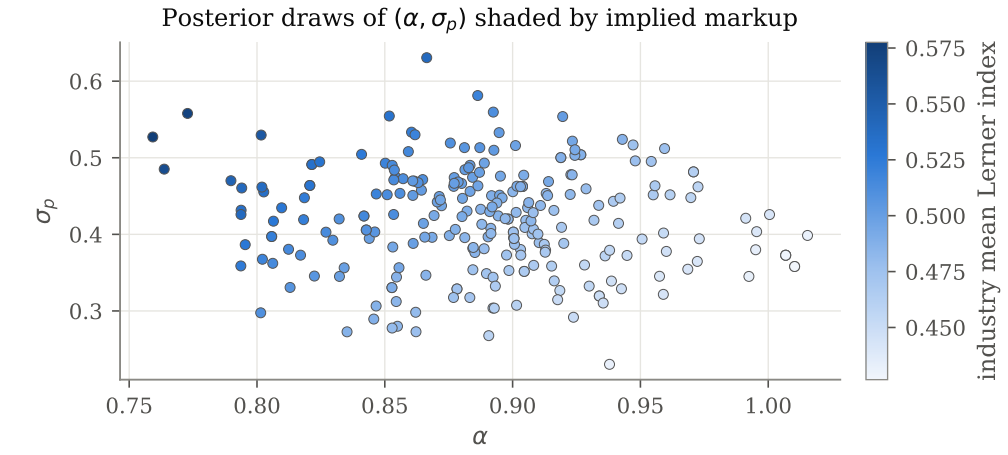
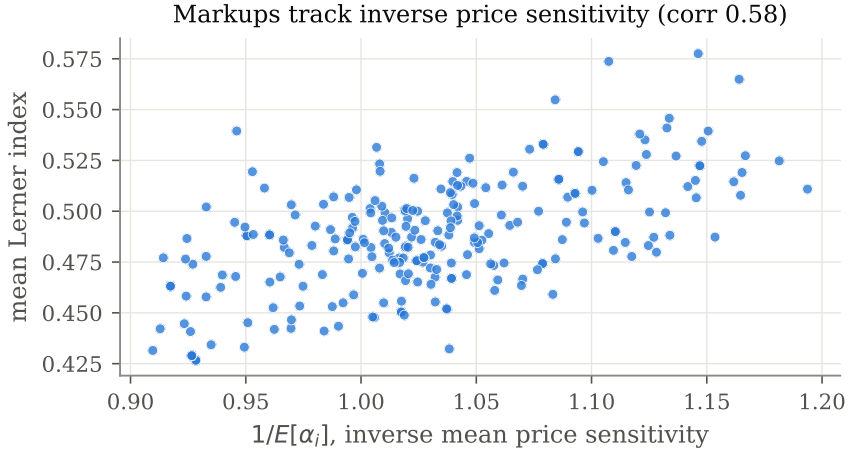

Posterior draws of (α, σ_p) shaded by implied markup
σ_p
0.6
0.5
0.4
0.3
0.75
0.80
0.85
0.90
0.95
1.00
α
industry mean Lerner index
0.575
0.550
0.525
0.500
0.475
0.450


Markups track inverse price sensitivity (corr 0.58)
mean Lerner index
0.575
0.550
0.525
0.500
0.475
0.450
0.425
0.90
0.95
1.00
1.05
1.10
1.15
1.20
$1/E[\alpha_i]$, inverse mean price sensitivity